

3. Understanding the business models of customers

EMS providers should also focus on customer-centric models, penetration into niche markets and effective information technology tools.

Moreover, considering intense competition, EMS providers need to enhance their value proposition by offering integrated and end-to-end solutions.

Focus on turnkey manufacturing

Survey participants unanimously accept the importance of turnkey manufacturing services as the need of the hour, to fulfil the increasing demand for one-stop shops for EMS.

Sometimes, OEMs follow the consignment contract manufacturing model to maintain greater control over the material planning and acquisition process. This also minimises the risks associated with a vendor-managed pipeline.

However, in case of consumer electronics, with its typical low-mix, high-volume production, OEMs prefer a partial or full turnkey model, in which the EMS provider controls the acquisition of material. This helps OEMs reduce costs and remain agile to address rapidly changing markets.

A common best practice among OEMs is to have systems that can analyse the total acquisition cost and use it to evaluate EMS suppliers as well as other types of contract manufacturers. These systems assign value to intangibles, such as ease of working with a vendor. An OEM assessing an outsourcer must have a way to measure other elements of the relationship that add to cost.

Turnkey projects need a high degree of technical skill that can be customised according to specific requirements of the OEMs. Only a few Indian EMS providers offer turnkey solutions for PCBAs, utilising chip-on-board (COB), surface-mount (SMT) and through-hole technologies. They also provide complete assemblies, including plastic mouldings, metal-die castings and sheet metal fabrications, apart from finishing, painting and printing—in short, delivering the final assembly of completed units.

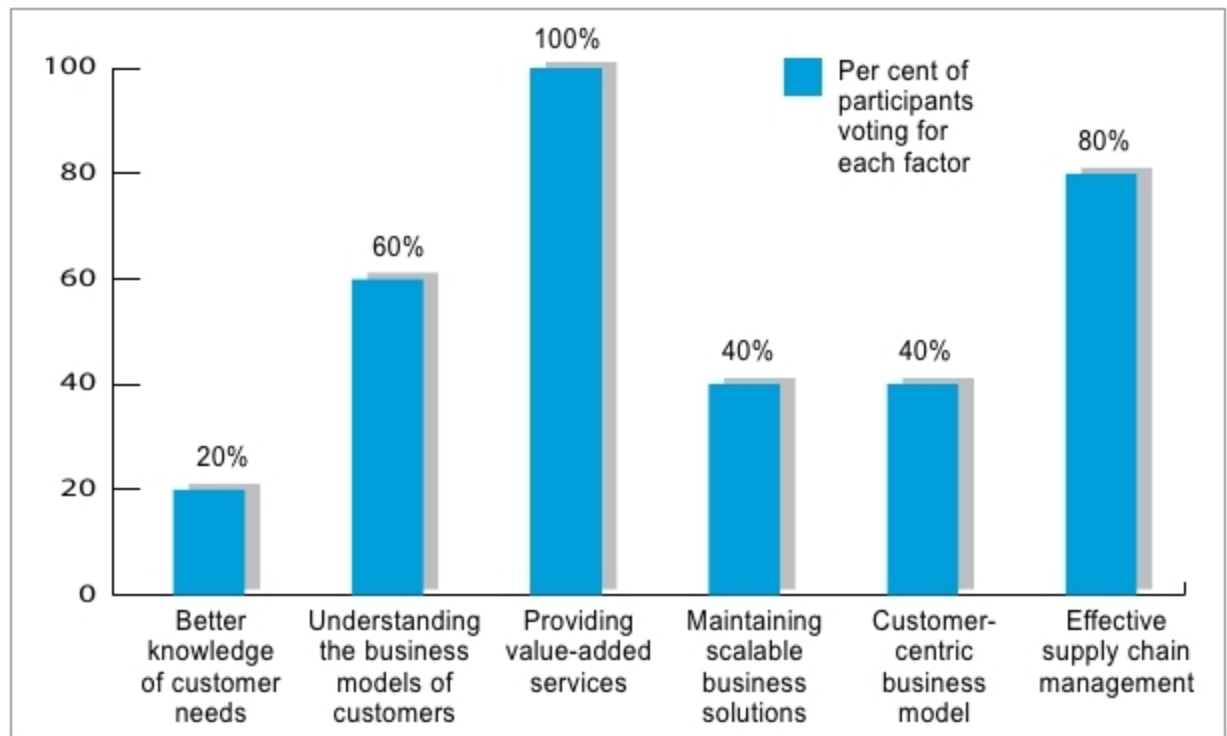


Fig. 2: Suggested business strategies for growth

This opens up vast business expansion opportunities for Indian EMS companies.

Another production process that provides better integration of EMS companies within the electronics production ecosystem is offering PCB manufacturing and EMS services together. This enables the company to provide better value-added services to its customers. The combined expertise streamlines work and helps EMS companies to be better integrated with the production value chain. This arrangement reduces the turnaround time for customers, as they have to deal with a single vendor, instead of working with multiple vendors.

Scope for original design manufacturing

Electronic products need constant design revisions, as end users expect creativity and continuous innovation. Therefore electronics product design and development is often outsourced to original design manufacturers (ODMs). In such cases, the sooner an OEM engages the contract manufacturer for product design and development services, the better it is—particularly when the product being designed moves into production and ramp-to-volume phases.

In instances where the ODM service is hired by the OEM for strategic reasons, the former is expected to have experience in designing and manufacturing similar products. This enables

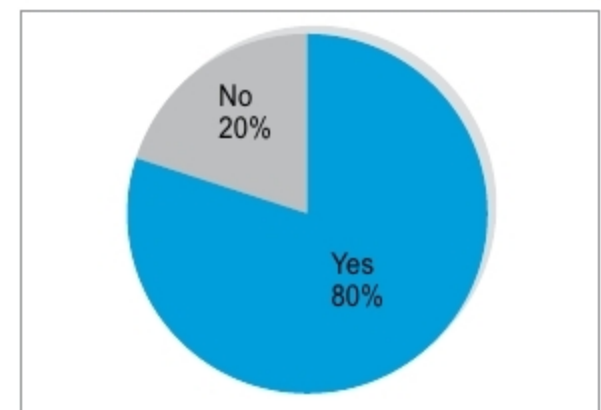


Fig. 3: Prediction about demand for original design manufacturing service in India

the OEM to minimise costly design iterations, bring the OEM product to market sooner and add several other benefits to the contract manufacturing relationship.

Survey participants unanimously indicated that ODM services are in demand. They feel that it is important to effectively control overall manufacturing costs in this highly cost-competitive market. EMS providers can help customers achieve this goal by offering turnkey solutions with additional value-added services.

Design is the best value-added service that an EMS company can provide. Moreover, ODMs can ensure unique products as per the Indian market, combining Design in India with Make in India. Hence, ODM services become a very important and cost-effective solution for the customer.

Twenty per cent of the survey participants (Fig. 3), however, do not see any value of ODMs in the Indian market. According to them, most